

Mark Scheme

Practice Paper (Advanced)

Pearson Edexcel GCE AS Level

Economics A (8EC0)

Paper 01: Introduction to Markets and Market Failure

General marking guidance

- All candidates must receive the same treatment.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than be penalised for omissions.
- Examiners should mark according to the mark scheme — not according to their perception of where the grade boundaries may lie.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification/indicative content will not be exhaustive.
- Crossed-out work should be marked unless the candidate has replaced it with an alternative response.

Section A

Question Number	Answer	Mark
1(a)	Knowledge 1, Application 1, Analysis 1 Explain ONE advantage of the division of labour. Knowledge (1) • Specialisation increases worker productivity / output per worker (1) • Allows the use of specialised capital, lower training costs, exploitation of comparative advantage (1) Application (1) • Reference to Smith's pin factory / 48,000 pins per day vs a few hundred (1) Analysis (1) • Repetition of a single task allows workers to become highly skilled, reducing average production cost / increasing total output per unit of input (1) • Allowing specialisation creates the possibility for trade and economies of scale (1)	(3)

Question Number	Answer	Mark
1(b)	Knowledge 1 The only correct answer is C — repetitive tasks leading to boredom and low motivation. • A is incorrect — higher output is an advantage, not disadvantage. • B is incorrect — lower training time benefits the producer and worker. • D is incorrect — using specialised capital is an advantage.	(1)

Question Number	Answer	Mark
2(a)	Knowledge 1 1 mark for an acceptable definition, e.g.: • The price at which the quantity demanded by consumers equals the quantity supplied by producers / where there is no excess demand or excess supply (1) • The price at which the market clears (1)	(1)

Question Number	Answer	Mark
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2(b)	Knowledge 1 The only correct answer is B — new technology doubling lithium yield is an increase in productivity that shifts the PPF outward. • A is incorrect — a price change does not shift the PPF. • C is incorrect — earthquake damage shifts the PPF inward. • D is incorrect — increased unemployment moves the economy inside the PPF, not an outward shift.	(1)
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Question Number	Answer	Mark
2(c)	Knowledge 1, Application 1 • New demand curve drawn and labelled showing a rightward / outward shift from D to D■ (1) • New equilibrium clearly identified with higher price P■ and higher quantity Q■ (1)	(2)

Question Number	Answer	Mark
3(a)	Knowledge 1 The only correct answer is C. • A is incorrect — Smith advocated free markets. • B is incorrect — prices in a command economy are set centrally. • D is incorrect — command economies are dominated by the public sector.	(1)

Question Number	Answer	Mark
3(b)	Knowledge 1, Application 1, Analysis 1 Knowledge (1) • Absence of the price mechanism means signals from consumers to producers are lost — leading to shortages or surpluses (1) • Lack of profit motive / incentive to be productively or allocatively efficient (1) Application (1) • Reference to Cuban widespread shortages / queues of several hours at state shops (1) Analysis (1) • Because central planners cannot know consumer preferences as accurately as a price signal can convey, resources are misallocated, leading to persistent excess demand for essential goods (1)	(3)

Question Number	Answer	Mark
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4(a)	Knowledge 1 The only correct answer is C. Statement 1 is a measurable, testable fact (positive). Statement 2 uses 'ought to' — a value judgement (normative).	(1)
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Question Number	Answer	Mark
4(b)	Knowledge 1, Application 1, Analysis 1 Knowledge (1) • Opportunity cost is the value of the next best alternative forgone when making an economic decision (1) Application (1) • Reference to £2 billion of EV charging grants / reduced funding for rail upgrades (1) Analysis (1) • Because government resources are scarce, additional spending on EV charging points means less can be spent on rail upgrades — the rail expansion is the next best alternative forgone (1) • PPF diagram may be credited (1 AN max)	(3)

Question Number	Answer	Mark
5(a)	Knowledge 1, Application 1 Knowledge (1) • $\text{YED} = \% \text{ change in quantity demanded} \div \% \text{ change in income}$ (1) Application (1) • $\% \text{ change in quantity} = (1.4 - 1.6) / 1.6 \times 100 = -12.5\%$ • $\% \text{ change in income} = -3.8\%$ • $\text{YED} = -12.5 / -3.8 \approx +3.29$ (1) • Accept range +3.2 to +3.3. Award 2 marks for fully correct value with working; 1 mark for correct formula or correct % change in quantity.	(2)

Question Number	Answer	Mark
5(b)	Knowledge 1 1 mark for any acceptable definition, e.g.: • A good with an income elasticity of demand greater than 1 — demand rises more than proportionately as income rises (1)	(1)

Question Number	Answer	Mark
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5(c)	Knowledge 1 The only correct answer is C — for an inferior good, demand rises as income falls (negative YED). • A is incorrect — describes PED, not YED. • B is incorrect — describes XED (negative would be complements). • D is incorrect — luxuries have $YED > 1$, not negative YED.	(1)
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Section B — Question 6

Question Number	Answer	Mark
6(a)	Knowledge 1, Application 2, Analysis 2 Knowledge (1) • Inflationary pressure refers to a sustained rise in the general price level across the economy / a rise in production costs being passed through into consumer prices (1) Application (2) • Reference to UK fuel duty ($\approx$ 53p per litre) and possible rise (1) • Reference to hauliers / rural communities particularly dependent on road transport (1) • Reference to £75 per tonne of CO₂ external cost (1) Analysis (2) • Higher fuel duty raises input costs for any firm using road haulage — these increases would be passed on to consumers as higher prices (cost-push inflation) (1) • Inflationary pressure may have second-round effects: workers demanding higher wages, suppliers raising prices further (1) • Regressive impact on low-income households who spend a higher % of income on essentials (1)	(5)

Question Number	Answer	Mark
6(b) KAA	Knowledge 2, Application 2, Analysis 2 (KAA 6) Indicative arguments that the ULEZ is effective: • Charge of £12.50/day raises the marginal private cost of driving polluting vehicles → contraction of demand • Non-compliant vehicles fell from 165,000 (2019) to 31,000 (2024) — strong evidence of behavioural change • NO_x concentrations fell by 49% in central London • Internalises external costs of pollution (negative production externality) • Revenue raised can be hypothecated for public transport / cleaner alternatives Indicative arguments that it may not be fully effective: • Some drivers may simply pay the charge (price-inelastic demand) • Charge displaces journeys to other roads, increasing pollution elsewhere • Falls disproportionately on low-income drivers (regressive) • Wider expansion (Aug 2023) faced strong political opposition and legal challenges • Effectiveness depends on the rate set — £12.50 may not equal the true marginal external cost	(6)

Level	Mark	Descriptor
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Level 1	1–2	Displays isolated or imprecise knowledge of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated.

Question Number	Answer	Mark
6(b) Eval	Evaluation 4 • Long-run vs short-run effects: in the long run, drivers replace vehicles, so the charge becomes less effective at deterring entry • Falling income (1.9% fall in outer London) may make compliant second-hand vehicles more accessible — purchases rising from 62,000 to 78,000 • Combined with subsidies for EV charging, scrappage schemes, and bus subsidies, effectiveness is enhanced • Information / behavioural nudges may complement price-based intervention • Difficult to disentangle the effects of ULEZ from background trends (rise of EVs, fall in car use post-COVID)	(4)

Level	Mark	Descriptor
Level 1	1–2	Identification of generic evaluative comments without supporting evidence / reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by chains of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Answer	Mark
6(c)	Knowledge 2, Application 2 Knowledge (2) • YED will be negative — second-hand compliant vehicles are inferior goods, since demand rises as income falls (1) • Coefficient is income-elastic ($YED > 1$) (1) Application (2) • % change in quantity = $(78,000 - 62,000) / 62,000 \times 100 \approx +25.8\%$ • % change in income = -1.9% • $YED \approx +25.8 / -1.9 \approx -13.6 (1 + 1)$ • Accept range -13.0 to -14.0. Award 2 marks for fully correct value; 1 mark for correct % change or formula. Award maximum 2 marks if only coefficient is given without explanation.	(4)

Question Number	Answer	Mark
6(d)	Knowledge 2, Application 2, Analysis 2 Knowledge (2) - Public transport and private car journeys are substitutes — positive XED (1) - A subsidy reduces the effective price of public transport, increasing quantity demanded (1) Application (2) - Subsidised season tickets increase public transport use by 5.1% (Extract C) (1) - Reference to combined effect of cycle lanes (+3.6%), information campaigns (+1.9%) (1) Analysis (2) - As consumers substitute towards cheaper bus / train travel, demand for private car journeys shifts inward ($D \rightarrow D_{\blacksquare}$) — fewer car trips into the city (1) - Reduction in negative production externality (air pollution, congestion) — market moves closer to social optimum (1) - Suitable demand diagram for car journeys (D shifts inward) credited (1)	(6)

Question Number	Answer	Mark
6(e) KAA	Knowledge 3, Application 3, Analysis 3 (KAA 9) Private costs of using petrol/diesel cars: - Purchase price, fuel costs, road tax, insurance, maintenance - Time and stress costs of congestion External costs: - Air pollution (NO_x, PM_{10}) causing respiratory illness — burden on NHS - Greenhouse gas emissions (£75/tonne CO_2) contributing to climate change - Noise pollution and reduced amenity in urban areas - Congestion imposes time costs on other road users - Road accidents and casualties - Welfare loss / DWL where $\text{MSC} > \text{MPC}$ and equilibrium output exceeds the social optimum - Diagram showing negative production externality and welfare loss triangle credited NB: Level 3 responses must consider BOTH private and external costs.	(9)

Level	Mark	Descriptor
Level 1	1–3	Displays isolated or imprecise knowledge. Generic or irrelevant information. Descriptive approach with no chains of reasoning.
Level 2	4–6	Displays some knowledge applied to context but narrow. Chains of reasoning are developed but the answer may lack balance.

Level 3	7–9	Demonstrates accurate knowledge applied appropriately. Logical and coherent chains of reasoning. Relevant examples fully integrated.
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Question Number	Answer	Mark
6(e) Eval	Evaluation 6 • Difficulty valuing external costs (statistical value of life, health-care expenditure) — wide range of estimates • Private benefits to drivers (mobility, time saved, flexibility) partly offset private costs • Some external costs are already internalised through fuel duty (£75/t CO₂) • Magnitude of external costs varies by location — much greater in cities than rural areas • In the long run, the rollout of EVs is reducing the marginal external cost of road transport • Distributional effects: external costs fall most heavily on low-income urban residents living near busy roads	(6)

Level	Mark	Descriptor
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Question Number	Answer	Mark
6(f) KAA	Knowledge 4, Application 4, Analysis 6 (KAA 14) Impacts of a rise in UK fuel duty: • Pump price rises → consumer surplus falls, contraction of demand • Producer surplus falls (depending on PED and PES); incidence shared between drivers and oil companies • Tax revenue rises — OBR estimates show £100 bn of foregone revenue from past freezes; a rise could partly recover this • Internalises external costs — reduces consumption towards Q* • Welfare gain triangle if the rate equals marginal external cost • Diagram required: shows S → S+tax, equilibrium moves from (P, Q) to (P■, Q■); tax incidence shown by area between supply curves • Hauliers and rural communities bear a larger share of the burden — cost-push inflation through the supply chain • If no valid diagram is included, mark maximum Level 3 (10).	(14)

Level	Mark	Descriptor
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Level 1	1–3	Isolated or imprecise knowledge. Generic or irrelevant examples. Descriptive.
Level 2	4–6	Some knowledge applied to context but narrow. Two-stage chains of reasoning only.
Level 3	7–10	Accurate knowledge applied directly to the broad elements of the question. Coherent chains of reasoning but may lack balance.
Level 4	11–14	Precise knowledge applied with relevant examples fully integrated. Logical, balanced and coherent chains of reasoning.

Question Number	Answer	Mark
6(f) Eval	Evaluation 6 • Depends on PED for fuel: empirically inelastic in the short run, more elastic in the long run — effectiveness in cutting consumption may be limited initially • Regressive impact on low-income drivers — political opposition limits policy credibility • Rural areas have fewer substitutes for car travel — disproportionate harm • Possible government failure if the rate is set too high or too low relative to the marginal external cost • EV transition reduces the rationale for the tax over time — risk of declining revenue base • Alternative interventions (road pricing, congestion charging, ULEZ-style schemes) may be more targeted	(6)

Level	Mark	Descriptor
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Question Number	Answer	Mark
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6(g) KAA	Knowledge 4, Application 4, Analysis 6 (KAA 14) Policy options to reduce market failure from urban air pollution: • Indirect tax (fuel duty, ULEZ daily charge): raises price, contracts demand. Diagram of negative externality with tax credited • Subsidies for EVs, public transport, cycling — Extract C shows 5.1% rise in bus/train use from season ticket subsidies • Regulation: emissions standards (e.g. Euro 6), ban on diesel sales, 2030 phase-out of new petrol/diesel cars • Tradable pollution permits for fleet operators • Information provision: real-time air quality alerts, public-health campaigns — Extract C shows 1.9% rise in active travel • Direct provision: investment in segregated cycle lanes (+3.6%), bus lanes, EV charging infrastructure • If no valid diagram is included, mark maximum Level 3 (10).	(14)
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Level	Mark	Descriptor
Level 1	1–3	Isolated or imprecise knowledge. Generic or irrelevant examples. Descriptive.
Level 2	4–6	Some knowledge applied to context but narrow. Two-stage chains of reasoning only.
Level 3	7–10	Accurate knowledge applied directly to the broad elements of the question. Coherent chains of reasoning but may lack balance.
Level 4	11–14	Precise knowledge applied with relevant examples fully integrated. Logical, balanced and coherent chains of reasoning.

Question Number	Answer	Mark
6(g) Eval	Evaluation 6 • PED for fuel / car travel in the short run — most interventions take time to change behaviour • Regressive impact of indirect taxes / charges on low-income drivers • Voluntary measures (pledges in Extract C) shown to have no measurable effect • Administrative costs of monitoring (ULEZ cameras, permit systems) • Opportunity cost of subsidy spending (£2 bn EV charging vs rail upgrades) • Information gaps — true value of external costs is difficult to estimate, risk of government failure • Combination of measures (Extract C) is the most effective — cumulative impact exceeds any single measure	(6)

Level	Mark	Descriptor
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence and a partially developed chain of reasoning.

Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.
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